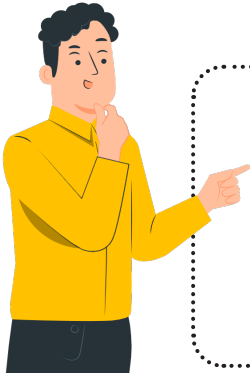


2.4 Value Creation

What creates value in the markets?



With time, the quality and quantity of earnings of good companies tends to go up. As this happens the real value of these companies go up as well and this is value creation.

As real value increases market value also moves around it which leads to attractive returns.

However, all this requires a lot of time and discipline. That is why it's said - **Stock market is all about testing your Patience.**

So What Is Value Creation?

When a company performs consistently, it increases the quality and quantity of its earnings, it leads to an overall increase in real value.



This value is captured when market value exceeds or follows its true value over time.

With time, the market value will reflect its true value, and we will be rewarded handsomely for identifying and investing those companies.



So when does real value increase?

- > A company's quantity of earnings has increased. It essentially means that the company has grown.
- > When there is an increase in quality of earnings of a company.
- > That is when the actual value is created.

We want to identify companies that can grow its true value at a reasonable place.